

Jubilee Insurance Co Ltd v Ombaka
[1972] 1 EA 301 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	21 December 1966
Case Number:	548/1966 (99/72)
Before:	Farrell J
Sourced by:	LawAfrica

[1] *Insurance – Motor Insurance – Third party risks – Compulsory insurance – Driver not authorised – No liability on insurer – Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405), ss. 8, 10 (K.).*

[2] *Insurance – Motor Insurance – Compulsory Insurance – Insurer only liable when judgment entered against assured – Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405), s. 10 (K.).*

[3] *Restitution – Money paid for another – Insurance claim – No liability on insurer to pay and no request by assured to pay – Money not recoverable.*

Editor's Summary

The defendant owned a motor vehicle which was insured by the plaintiff company in respect of the driving of any authorised driver. In the absence of the defendant the keys were taken from his jacket by the defendant's son who was unlicensed. An accident was caused by the son's negligent driving. A passenger in the other vehicle involved made a claim on the plaintiff for damages for the injuries suffered by him. The plaintiff repudiated liability to the defendant, as the son was not an authorised driver.

Negotiations proceeded for the settlement of the third party's claim during the course of which the defendant disclaimed any responsibility for the negotiations or any settlement. Nevertheless the plaintiff paid the third party damages agreed upon although no suit had been filed or judgment entered.

The policy contained a clause authorising the insurer to settle claims.

The plaintiff claimed from the defendant the amount it had paid to the third party as money which it became liable to pay under the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) and which it was not liable to pay under the policy and alternatively as money paid for and on behalf of the plaintiff and contended that the car had been driven with the defendant's permission.

The defendant contended that a judgment was necessary before any liability on the insurer arose, that the liability was not covered by the policy, that the

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money was not paid for the defendant and that the plaintiff had no power to settle a claim after having repudiated liability to the defendant.

Held –

(i) the car was being driven without the defendant's permission;

(ii) as well as being unlicensed, the son was not an authorised driver;

(iii) it is a precondition for liability on the insurer that judgment must have been obtained;

(iv) the cover given by the policy extended only to authorised drivers;

(v) the nullification of the exception excluding liability for an unauthorised driver did not operate to extend the policy to cover more than was agreed upon (*New Great Insurance Co. of India v. Cross* (3) distinguished);

(vi) accordingly the plaintiff would not have been liable to the third party;

vii) payment was not made with the consent of the defendant;

viii) there was no compulsion on the plaintiff to pay the third party;

(ix) the plaintiff had no right under the policy to settle the third party's claim after repudiating liability to the defendant (*Groom v. Crocker* (2) followed);

(x) accordingly the claim for money paid failed.

Judgment for the defendant.

Cases referred to in judgment:

(1) *Berton v. Alliance Economic Investment Co. Ltd.*, [1922] 1 K.B. 742.

(2) *Groom v. Crocker*, [1938] 2 All E.R. 394

(3) *New Great Insurance Co. of India v. Cross*, [1966] E.A. 90

[**Editorial note:** In cases where it is not disputed that the insurer is liable to pay the third party, but claims that he is entitled to recover from the assured, the insurer must have power under the condition in the policy to settle the third party claim. The insurer is not repudiating the policy, but claiming recovery under the terms of the policy.]

Judgment

Farrell J: This is a claim by the plaintiff an insurance company for repayment by the defendant, the insured under a policy of insurance, of a sum of money which the plaintiff claims that it became liable to pay to a third party by virtue of the provisions of the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405), to which I shall refer as “the Act”. There is an alternative claim for an identical sum as money paid by the plaintiff for an on behalf of and to the use of the defendant.

The facts out of which the claim arises are as follows. The defendant is the owner of a Fiat motor vehicle which is the subject of the policy. During the week-end of 2 to 3 January 1965, the defendant had gone to Nakuru, leaving his family at home in Nairobi, and the motor-car in the garage of his house. The defendant’s eldest child was at that time a schoolboy about 16 or 17 years of age who had been learning to drive at his school and held a provisional licence. On the Sunday afternoon, the defendant’s son wished to visit the near-by shops. He looked for the keys of the car, found them in his father’s coat pocket, took them and proceeded to drive the car along the main Ngong Road. While doing so he had to swerve to avoid running into the back of a lorry which had braked suddenly. A car approaching from the opposite direction in order to avoid a collision drove into the ditch, and a passenger in the vehicle (to whom I shall refer as “the third party”) sustained a fractured leg.

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It is not disputed in these proceedings that the accident was due to the negligence of the defendant’s son, and that he was at the time an unlicensed driver. The only fact in dispute is whether the defendant’s son was driving with the defendant’s permission, a point which is of importance in connection with the definition in the policy of “authorised driver”. For the insurers Mr. da Gama Rose has valiantly contended that permission, if not actually given, is to be inferred from the surrounding circumstances, and relying on a definition of the word “permit” given by Atkin, L.J. in *Berton v. Alliance Economic Investment Co. Ltd.*, [1922] 1 K.B. 742, he argues that the defendant, not having taken reasonable steps to prevent his son from driving the car where it was in his power to prevent it, must be deemed to have given him permission to do so. I am wholly unable to accept this submission, which to my mind is negatived by the unchallenged evidence that the son had never driven the defendant’s car before, nor is there anything to suggest that the defendant had reason to suppose that he would do so on the occasion in question or that any precautions were necessary to prevent him from doing so. I have no hesitation in holding that the defendant’s son was driving the car without his father’s permission.

Such being the facts, the issues which arise fall to be decided in the light of the construction to be given to the terms of the policy and to the provisions of the Act. I shall first set out those parts of the policy which appear to be material. The policy is a comprehensive policy of insurance for a private car and is in the usual form of such a policy. Section II is headed “Liability to Third Parties” and so far as relevant reads as follows:

“1. The Company will subject to the Limits of Liability indemnify the Insured in the event of accident caused by or arising out of the use of the Motor Vehicle against all sums including claimant’s costs and expenses which the Insured shall become legally liable to pay in respect of

(	a	)	death of or bodily injury to any person” (there follow certain exceptions and exclusions which are not material to this case). . . .
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2. In terms of and subject to the limitations of and for the purposes of this Section the Company will indemnify

(	a	)	any Authorised Driver who is driving the Motor Vehicle” (and there follow certain provisions which it is unnecessary to set out)
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The expression “Authorised Driver” is defined later in the policy as “any of the following:

The Insured:

Any person driving on the Insured’s order or with his permission. Provided that the person driving is permitted in accordance with the licensing or other laws or regulations to drive the Motor Vehicle or has been so permitted and is not disqualified by order of a Court of Law or by reason of any enactment or regulation in that behalf from driving the Motor Vehicle.”

Section III of the policy contains, under the heading “Avoidance of Certain Terms and Right of

Recovery”, the following provision (to which I shall refer as “the avoidance clause”):

“Nothing in this policy or any endorsement hereon shall affect the right of any person entitled to indemnity under this policy or of any other person to recover an amount under or by virtue of the legislation” (which by definition includes the Act).

“But the Insured shall repay to the Company all sums paid by the Company which the Company would not have been liable to pay but for the Legislation.”

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After the avoidance clause there are set out certain General Exceptions as follows:

“The Company shall not be liable in respect of

1. any accident loss damage or liability caused sustained or incurred . . .

(	b)	) whilst any motor vehicle in respect of which indemnity is provided by this Policy is . . .
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(ii) being driven by or is for the purpose of being driven by him in charge of any person other than an Authorised Driver. . . .”

Then follow the usual “conditions” of which it is unnecessary to refer to any except the following:

“5. No admission offer promise or payment shall be made by or on behalf of the Insured without the written consent of the Company which shall be entitled if it so desires to take over and conduct in his name the defence or settlement of any claim or to prosecute in his name for its own benefit any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings and in the settlement of any claim and the Insured shall give all such information and assistance as the Company may require.”

The contention of the plaintiff is twofold. First, it submits that it was not in the events which happened liable to pay any indemnity under the terms of the policy regarded simply as a contractual document and unaffected by legislation; secondly, it submits that under the provisions of the Act it was obliged to satisfy the claim of the third party. On that footing, the plaintiff claims that the conditions of the avoidance clause are fully satisfied and that it is entitled to exercise against the defendant the right of recovery conferred in that clause.

So far as the first submission is concerned there is no substantial dispute between the parties. Even if, as the plaintiff contends, the defendant’s son had been driving with his father’s permission, so as *prima facie* to fall within the definition of authorised driver, it is conceded that as he was an unlicensed driver, he would be caught by the proviso to the definition, so as to prevent any liability

arising under Section II, paragraph 2 (	)	of the policy.
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It is, however, in respect of the second limb of the plaintiff’s argument that the principal issue arises, since it is the contention of the defendant that the third party had no right to the payment of any sum of money under or by virtue of the Act, and that accordingly the plaintiffs are not entitled to recover from the defendant the amount paid by them to the third party as being a sum which the plaintiffs “would not have been liable to pay but for the Legislation”.

The only provision in the Act which directly imposes upon an insurer an obligation to pay compensation to an injured third party is to be found in s. 10 of which subs. (1) reads as follows:

“(1) If, after a policy of insurance has been effected, judgment in respect of any such liability as is required to be covered by a policy under paragraph (b) of section 5 of this Act (being a liability covered by the terms of the policy) is obtained against any person insured by the policy, then, notwithstanding that the insurer may be entitled to avoid or cancel, or may have avoided or cancelled, the policy, the insurer shall, subject to the provisions of this section, pay to the persons entitled to the benefit of the judgment any sum payable thereunder in respect of the liability, including any amount payable in respect of costs and any sum payable in respect of interest on that sum by virtue of any enactment relating to interest on judgments.”

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It is common ground that any liability which arose in this case was a liability which required to be covered by a policy under paragraph (b) of s. 5 of the Act. It is also common ground that no question of avoidance or cancellation arises in this case. But for the defendant it is pointed out that a precondition for the application of the subsection is that a judgment should first have been obtained against a person insured by the policy, and it is of necessity conceded in this case that there has been no such judgment. Nor has any case been cited which suggests that an insurer can be obliged to pay any sum to an injured third party in the absence of a judgment first obtained against a person insured under the policy. In the recent case on which the plaintiffs particularly rely, the *New Great Insurance Co. of India v. Cross*, [1966] E.A. 90 the injured respondents had recovered judgment in other proceedings against the insured. In this case the third party had made a claim and threatened

proceedings, but no proceedings had in fact been instituted. The question whether it was reasonable in the circumstances for the plaintiffs to negotiate a settlement of the claim may be relevant in another context. But where the issue is whether the plaintiff was obliged by law to pay the sum of £800 to the third party, I am satisfied that the absence of a judgment is fatal to the plaintiffs' contention, since the obligation under s. 10 (1) does not arise until a judgment has been obtained.

That, in my view, is sufficient to dispose of the principal issue, without the necessity of going on to consider whether the liability to the third party was a liability in fact covered by the policy. But as the question has been argued at some length, it is right that I should express an opinion on it. On the construction of the Act which has been consistently applied for the last 30 years in its country of origin, and up till recently applied (with certain minor exceptions) in this country, the reference in s. 8 to "any condition" has been given a narrow rather than a wide meaning. See the dissenting judgment of De Lestang, J.A., in the *New Great Insurance* case *supra*. But by the majority decision in that case it has been held that s. 8 makes ineffective a condition providing that no liability shall arise under a policy insofar as it relates to such liabilities as are required to be covered under s. 5 (b) of the Act. This court is, of course, bound by that decision but is not called upon to apply it more widely than the decision itself demands. That case was concerned with an unlicensed (and disqualified) driver driving with the permission of the insured, and it was held that the proviso in the schedule of the policy dealing with disqualification must be treated as a condition caught by the provisions of s. 8 and that the liability was covered because the condition excluding liability was ineffective. The present case, however, is concerned with an unlicensed driver driving (as I have found) without the permission of the insured. So far as the fact of his being unlicensed is concerned, I am bound to hold that the similar proviso in the schedule to the policy excluding him from the definition of "authorised driver" is a condition which is invalidated by s. 8 and so must be ignored. But it does not necessarily follow that the liability is covered by the policy, since in this case the driver was not only unlicensed but also unauthorised, and it is by no means self-evident that the inclusion within the definition of authorised driver of "any person driving on the insured's order or with his permission" is to be treated as a condition on the same basis as the proviso. A condition is in its nature restrictive, but the part of the definition referred to is the reverse of restrictive. It in fact enlarges the cover of the policy by extending it to persons whom the insured is under no obligation to bring within the cover if he does not choose to do so. As Newbold, V.P. (as he then was) remarks in the case cited at p. 95 I, "the cover required by the section may properly be restricted to the vehicle when used by the owner himself". But in this case the cover is not restricted but is extended to cover the class of person falling within the definition of "authorised driver" and such an extension cannot be regarded as a condition without doing violence

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to the ordinary meaning of language. It is true that paragraph 1 (b) (ii) of the General Exceptions excludes liability when the vehicle is being driven by any person other than an authorised driver, and in that form the provision may properly be regarded as a condition. But granted that it is and that as such it is of no effect by virtue of s. 8 of the Act, the mere annulment of the exception is not sufficient positively to bring within the cover of the policy persons who have not already been brought within its scope by paragraph 2 (a) of Section II and the definition of "authorised driver", viz., persons driving without the permission of the insured. To hold otherwise would involve a liability arising under the policy when the vehicle was being driven by a joy-rider or a thief. In any case, some meaning must in my view be given to the words in s. 10 (1) of the Act "being a liability covered by the terms of the policy". That implies that there may be liabilities not covered by the terms of the policy. In so far as this result arises from conditions nullified by s. 8, those conditions must, of course, be ignored; but s. 10 recognises that, quite apart from such conditions, there may be liabilities required to be covered by a policy, but not in fact so covered.

For these reasons, as it seems to me, even if the third party had obtained a judgment either against the defendant or (as appears more likely) against his son, the insurers would not be obliged by s. 10 (1) to satisfy the judgment since liability in respect of a person driving without the permission of the insured is not a liability covered by the terms of the policy.

The alternative claim of the plaintiffs against the defendant that the sum of Shs. 16,000/- paid by them to the third party was money paid for and on behalf of and to the use of the defendant, and as such recoverable by them, appears to have been overlooked in argument, but nevertheless remains an

issue. Before considering the legal aspects of the question, it will be convenient to touch briefly on the correspondence which passed between the parties and their advocates, and the third party's advocates up to the point when the settlement was reached.

The accident was reported by the defendant to the plaintiff as insurer on 6 January 1965. It appears that on 29 June a claim was put forward by advocates for the third party, and in their letter of 28 July they gave particulars of their claim, supported by medical reports, and indicated that it would amount to something over Shs. 50,000/-. In a letter to the defendant dated 25 October 1965, the plaintiff through its advocates repudiated liability under the policy on the ground that the defendant's son, not being licensed, was not an authorised driver, and invited the defendant, if he wished to do so, to negotiate a settlement with the third party. The defendant was warned that if the plaintiff should be held liable to the third party, it would seek to recover from the defendant any payments ordered by the court. The defendant thereupon appointed his own advocates who continued to represent him throughout the negotiations.

The third party's advocates continued to press his claim, and on 4 November 1965, the plaintiff's advocates asked the defendant's advocates whether they intended to negotiate a settlement, and gave them notice that if they did not hear from them in 7 days they would consider themselves free to negotiate with the advocates of the third party for a settlement on the best possible terms. The defendant's advocates replied on 8 November, that they would obtain their client's instructions and asked the plaintiff's advocates to refrain from any further steps in the meantime. On 16 November the plaintiff's advocates replied stating that unless they heard within 10 days, their client would consider themselves free to take such steps as might be necessary "to protect its interests". Three days later an offer by the third party to accept Shs. 20,000/- in settlement was passed to the defendant's advocates.

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The negotiations dragged on, and on 12 January 1966, the third party's advocates gave the defendant and his son until 27 January to meet their client's claim. On 21 February 1966, the plaintiff's advocates wrote to the defendant's advocates informing them that in view of the defendant's persistent and continued silence, the plaintiff was now proceeding to negotiate with the advocates of the third party for a settlement of the claim, and would look to the defendant for reimbursement of any payment made. The defendant's advocates replied on 25 February that any claim for damages must be directed against the lorry driver, and concluded:

"In the premises my client is not responsible for any negotiations that yours may have with (the third party) or his advocates."

Notwithstanding this disclaimer, the plaintiff's advocates continued the negotiations and on 25 March 1966, informed the defendant that they had agreed a sum of £800 in full and final settlement of the third party's claim. The money was paid in the following month.

From this correspondence, together with submissions made by counsel for the plaintiff in argument, one or two points emerge clearly. First of all, it is plain that at no time did the defendant authorise or request the plaintiff or its advocates to negotiate with the third party or to make a settlement of his claim on the defendant's behalf. Secondly, the plaintiff was concerned to a considerable extent, at least, to protect its own interests, and arrived at a settlement with the third party because it believed (mistakenly, as I have found) that in the event of the third party obtaining judgment against the defendant or his son, it might be compelled to satisfy the judgment, in which case its chance of reimbursing itself from the defendant or his son would at best be problematical.

In these circumstances can it be said that the payment to the third party was made for and on behalf of and to the use of the defendant, so as to entitle the plaintiff to be reimbursed by him. The law of "money paid" is not easy to summarise, nor have I had the benefit of counsel's assistance on this topic. But there are two cases in which it seems clear that there is an obligation to repay: (a) when payment is made at the request of another; and (b) when one person has been compelled to pay the debt or discharge the liability of another. See Halsbury's Laws of England (3rd edn.) vol. 8, p. 227; Chitty on Contract, (22nd edn.) vol. 1, paragraphs 1598 et seq., and 1625 et seq. Here there has been no request by the defendant, and it is not easy to see in what way there was any compulsion.

Admittedly, there was a threat of legal proceedings by the third party, but those proceedings were not threatened against the plaintiff, but against the defendant and his son. There could arise no obligation

on the plaintiff to pay unless and until a judgment was obtained against one or the other, and even then, if I am right, the plaintiffs were in error in thinking that they would be obliged to meet the liability. I find that the plaintiff has not shown that it made the payment under compulsion, and that being so the payment so far as the plaintiffs were concerned was a voluntary one for which repayment cannot be claimed. "It is a clearly established principle that no legal right to repayment will be established by the mere voluntary payment of the debt of another person; for one man cannot make himself the creditor of another without his knowledge and consent": Chitty, para. 1627.

For these reasons I find that the alternative claim in respect of money allegedly paid to the use of the defendant also fails. It seems to me that the plaintiff has, perhaps excusably in view of the uncertain state into which the law has recently fallen, been led into error as regards its legal rights and liabilities, and, partly in order to protect its own interests, partly in what they genuinely believed to be the interests of its insured, have arrived at a settlement with the third party

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which in terms of money was by no means unreasonable both from its own point of view and that of the defendant, but without taking the precaution of obtaining the consent of the defendant himself to such an arrangement. Once that consent was withheld, the plaintiff had no mandate to continue the negotiations with the third party. By continuing them it may have limited its own potential liability, but in doing so they were acting on their own account and cannot either by virtue of the Act or on principles of common law claim to reimburse themselves out of the pocket of the defendant.

In this context I have made no reference to Condition 5 of the policy, because I do not understand that the plaintiff relies upon it. The condition on its face appears to confer a wide authority on the insurer to settle claims, and it might have been argued here that it was wide enough to cover the settlement negotiated by the plaintiff with the third party. But Mr. Jamidar for the defendant has quoted extensively from the well-known case of *Groom v. Crocker*, [1938] 2 All E.R. 394, and has satisfied the court that the apparently wide discretion conferred by such a condition must be construed subject to some limitations and in particular that it only continues to exist as long as there is a genuine community of interest between the insurer and the insured. In the present case that community of interest came to an end as soon as the insurer by its letter of 25 October 1965, repudiated liability under the policy. After that, as it seems to me, on the principles applied in *Groom v. Crocker* the plaintiffs could no longer rely on the condition as giving them discretion to settle the third party's claim, particularly as any settlement implied an admission of liability on the part of the defendant which was clearly not in the defendant's interest. In the circumstances it seems to me that counsel for the plaintiff was right in not seeking to rely on the condition.

The suit is dismissed and there will be judgment for the defendant with costs.

Order accordingly.

For the plaintiff:

MH da Gama Rose (instructed by *Shapley Barret Marsh & Co*, Nairobi)

For the defendant:

GS Vohra (instructed by *Gautama & Gautama*, Nairobi)